

Loss CAUSE

Top five loss-making routes

Delhi-New York

Rs 236 Cr*

Mumbai-Hong Kong

Rs 235 Cr

Delhi-London-JFK

Rs 224 Cr

Mumbai-London-Chicago

Rs 128 Cr

Mumbai-London

Rs 118 Cr

**Losses annualised*

Aviation Company of India Ltd (NACIL) Chairman Arvind Jadhav studied it when he was interviewed for the top job in March 2008 and concluded that the airline margins were thin. By the time he took over in May 2009, thin turned negative. In fact, the crisis would have arrived well before the fuel price crisis but for some clever jugglery. They simply sold and leased back assets. In other words, sold assets to show one-time incomes to hide losses. Such is the precarious state today that the airline is borrowing to pay interest and 88 per cent of the working capital loan is being used to fund the cash gap of Rs 13,400 crore.

Patel's critics bandy conspiracy theories for the mess. Their case: he allowed private players to fly abroad who robbed AI-IA of market share, the release of four lakh seats per week enabled free access to foreign airlines to indulge in fare wars, the aircraft acquisition loaded costs and created capacity they couldn't use but had to pay for. Former BJP MP Kirit Somaiya last week met the comptroller and auditor general and central vigilance commissioner and asked for a probe. "The airline has been forced to acquire 111 aircraft without assessing economic

Aircraft Acquisition PLAN

Aircraft	Ordered	Received*	Delivery up to
B777-200LR	8	5	Aug 2009
B777-300ER	15	5	Aug 2011
B787-8	27	0	2014 (Delayed)
B737-800	18	15	December 2009
A319	19	11	Jan 2010
A320	4	0	March 2010
A321	20	12	April 2010
Total	111	48	

**up to May 2009*



FLEET UTILISATION IS 20% LOWER THAN THE GLOBAL NORMS, RESULTING IN LOWER EARNINGS.

“The sector is in transition in a transforming economy. The national carrier needs to be supported.”

MADHAVAN NAMBIAR, Secretary, Civil Aviation

viability and repayment burden.” Another former director alleges a conspiracy in the 2.5 million to 7.5 million rise in traffic on Gulf-based carriers in five years. Air Corporations Employees Union Secretary J.B. Kadian has, in a letter to the prime minister, alleged that the airline was profitable till 2004 and that acquisitions, the merger and losses were forced on it by vested interests.

Alluring conspiracy theories, however, don't fly. You could argue that the airline did not get the mentoring it de-

served, but there is no escaping from competition. And there is no explanation why AI or IA couldn't exploit the opportunities the private or foreign players thrived on. The fact is government ownership will always be an impediment to efficient management. The present crisis presents an opportunity. The Man-mohan regime could do one of two things. Prop it financially with equity, empower the chairman to revamp, hiving off non-core activities and introduce a productivity road map. Or it could seize the moment and call in a private player to partner it. Just like in Maruti and divest later. After all Maruti is Suzuki and all the better for it. And since a Tata started it all, why not ask Tata Sons first? ■

“A major financial and organisational restructuring is imperative if the airline has to sustain and grow.”

ARVIND JADHAV, Chairman, NACIL